

		
	ESG AND REAL ESTATE	
	LSE Guest Lecture – Real Estate Finance March 2026 S Burak Kaplanoglu	

1

Agenda • Introduction • Context • Approach • Key takeaways	
ESG and Real Estate / LSE – S BURAK KAPLANOGLU	2

2

Introduction

Who is presenting?

An independent Real Estate professional
REEF Graduate and member of Advisory Board
Strategic and Operational excellence through the lens of Environmental, Social and Governance (ESG)
Circa 25 years' experience in the Real Estate sector

Real Estate, Capital Projects and Major Programmes background
e.g. Lend Lease, CH2M, PwC

ESG and Sustainability expert in client and consultant roles as a secondee

HSEQ, Governance and Risk leader in Real Estate Development and delivery projects e.g. EXPO 2020

ESG expertise and experiences across different cultures – UK, Europe, Middle East, Central Asia

Experienced in end-to-end ESG solutions – strategy, transformation and reporting

Experienced in various sectors including real estate, construction, events, transport, O&G, utilities

ESG and Real Estate / LSE – S BURAK KAPLANOGLU

3

3

Introduction

Why are we here?

Have an exploratory session:

Importance of Sustainability / ESG in Real Estate and how to approach it.

So, let's start - do you think Sustainability / ESG is important?

ESG and Real Estate / LSE – S BURAK KAPLANOGLU

4

4

Context

What is ESG?

Environmental, Social and Governance (ESG) is a framework that helps organizations respond to key global challenges faced with megatrends in a 'world in transition'

Challenges

- **Asymmetry** – increasing wealth disparity and erosion of middle class
- **Disruption** – impact of technology, climate change and significant social events
- **Aging** – Demographic pressure
- **Polarisation** – Breakdown in census
- **Trust** – Declining confidence in institutions

Mega Trends

Urbanisation	Digitization	Activism
Economic Headwinds	Diversity and Inclusion	Generation Z
Breakthroughs in science and technology (AI)	Energy security	Resource scarcity e.g. water
Asymmetric conflicts	Climate change impacts	Power shift to East

ESG and Real Estate / LSE – S BURAK KAPLANOGLU

Sources: Challenges adopted from ADAPT framework

5

5

Context

What is ESG?

ESG that focuses on 'material topics' for a company and measures how an organisation impacts environment and society and vice versa in a responsible way

Relevant top ESG material topics for a Real Estate business:

E: Environment

GHG emissions management	Pollution
Biodiversity & Nature	Environmental Impact
Water Management	Land and marine use management
Waste management and circularity	Green and healthy buildings
Climate risk management	Sustainable transport infrastructure
Others...	Others...

S: Social

Wellbeing, Health and Safety	Employee engagement
Customer focus	Talent management
Diversity, equity and inclusion	Product and service quality
Community engagement	Local economic development
Labour practices	Cultural heritage
Others...	Others...

G: Governance

Corporate Governance	Financial crime
Board diversity	Responsible tax practices
Risk Management	Business continuity
Responsible procurement	Privacy and data protection
Anti-corruption	Remuneration
Others...	Others...

ESG and Real Estate / LSE – S BURAK KAPLANOGLU

6

6

Context

What is ESG about?

ESG = NON-FINANCIAL PERFORMANCE

**TRANSITION FROM SHAREHOLDER TO STAKEHOLDER CAPITALISM
WITH A NEW DEFINITION OF SUCCESS:**

**BUSINESS PERFORMANCE =
FINANCIAL + NON-FINANCIAL PERFORMANCE**

YOUR BUSINESS IMPACTS AND RISKS

ESG and Real Estate / LSE – S BURAK KAPLANOGLU

7

7

Context

What are the challenges facing ESG?

Environmental, Social and Governance (ESG) is a label widely used with complexity, challenges and opportunities

ESG Challenges (Non-exhaustive list)

ESG terminology is too broad, evolving and can be confusing	Different approach to regulations across the globe e.g. EU vs others
Data gaps, lack of robust systems and assured data	Technology doesn't exist yet or it is too expensive e.g. CCS, Green steel
Lack of consistency with ESG ratings (regulations increasing)	Not enough certainty about financial impact on business e.g. climate risk
E focus (Carbon and Climate) with S and G secondary challenges just transition	ESG label backlash and culture wars
Not enough of market signals e.g. Green premium in some markets, but not others	Time is running out

It is NOT about the label

It is about the topics that are material to you and your stakeholders as a responsible business, managing your risks

ESG and Real Estate / LSE – S BURAK KAPLANOGLU

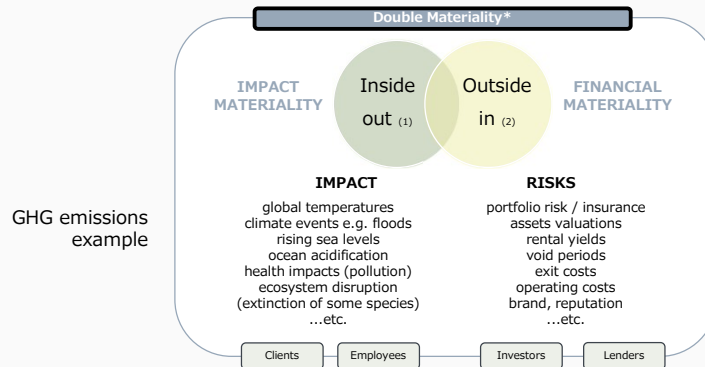
8

8

Context

How is ESG landscape evolving?

(1) Moving from impact to double materiality assessment (DMA)* with linking financial and non-financial



ESG and Real Estate / LSE – S BURAK KAPLANOGLU

*Note: Double Materiality is the basis of sustainability disclosures in CSRD.

9

9

Context

How is ESG landscape evolving?

(2) Stakeholders are already factoring in your financial and non-financial performance decisions...

More than **70% of M&A leaders** reporting abandoning potential acquisitions over ESG concerns, and a vast majority saying they would be willing to pay more for targets with strong ESG attributes (1)

How often ESG is a topic of discussion or consideration in ongoing M&A transitions you are engaged in?



94% of investors believe corporate reporting on sustainability performance contains unsupported claims (2)

73% of lenders have an ESG lending strategy in place (up from **57%** in 2022) (3)

81% of lenders say a firm's ESG status, or ability to transition to net zero, will have an increasing influence on their appetite to lend over the next five years (3)

93% of lenders think regulators may introduce a requirement to integrate sustainability considerations into a bank's internal capital allocation models for loans – which will impact both the availability and the cost of borrowing (3)

Company Financial and Non-Financial performance and reporting is becoming increasingly important to conduct business

ESG and Real Estate / LSE – S BURAK KAPLANOGLU

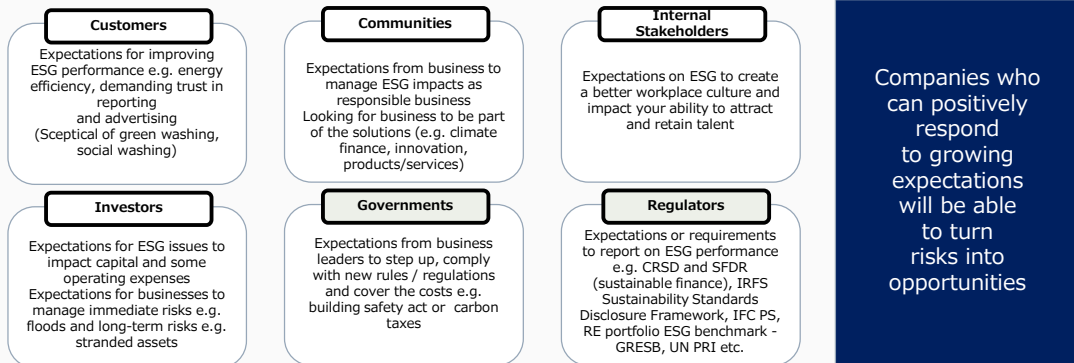
Sources: (1) Deloitte: Insights from our 2024 ESG in M&A trends survey, (2) PwC 2023 Global Investor Survey, (3) Grant Thornton 2024 Lenders Survey, 10

10

Context

How is ESG landscape evolving?

(3) And wider stakeholder landscape is demanding for us to become more responsible businesses



ESG and Real Estate / LSE - S BURAK KAPLANOGLU

CRSD: Corporate Sustainability Reporting Directive, SFDR: Sustainable Finance Disclosure Regulations by EU, GRESB: Global Real Estate Benchmark, UN PRI: United Nations Responsible Investment

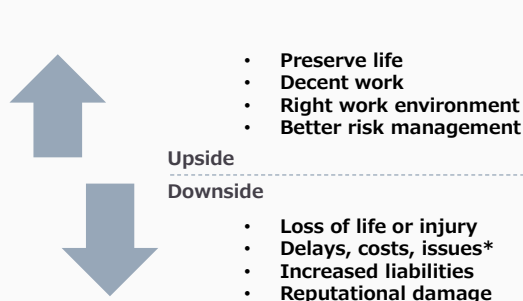
11

11

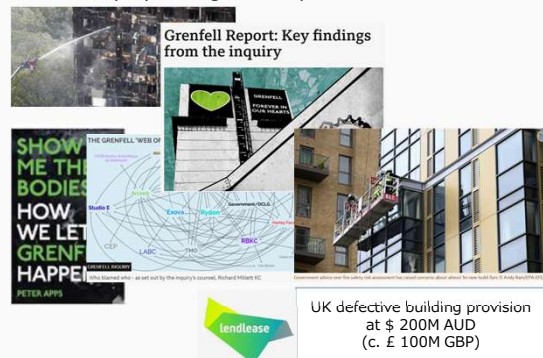
Context

What are ESG business upsides / downsides?

Social: Health and Safety example - Building Safety



Grenfell inquiry findings and impact:



ESG and Real Estate / LSE - S BURAK KAPLANOGLU

*Financial times on 19 October 2021: Government advice over fire safety risk assessment has raised concerns about almost 1m new-build flats. Belway, a FTSE 250 company's total outlay related to the crisis to £165m without certainty on final value of costs.
 * BBC on 2 December 2024: Estimated fixing unsafe cladding on all residential buildings over 11 meters in England will cost between £12.6bn and £22.4bn. The government has committed to contributing £5.1bn with the rest being funded by developers, private owners or social housing providers.

12

12

Context

What are ESG business upsides / downsides?

Environment: Climate mitigation and adaption example

Upside

- Brand / reputation
- Regulatory and risk compliance
- Green premium*
- Asset protection
- Lower cost of funding/insurance

Downside

- Stranded assets
- Longer void periods
- Uninsurable assets
- O&M issues e.g. conventional boilers

Climate change risk:

2 years

- 1st: Information and data protection
- 2nd: Extreme weather events
- 3rd: Cyber-attacks and cyber threats
- 4th: Climate change
- 5th: Cyber espionage and war
- 6th: Pollution
- 7th: Financial
- 8th: Regulatory, litigation or displacement
- 9th: Environmental contamination
- 10th: Health or human rights and social headlines

10 years

- 1st: Extreme weather events
- 2nd: Sea level rise and ecosystem collapse
- 3rd: Critical change to Earth systems
- 4th: Natural resource shortages
- 5th: Information and data protection
- 6th: Advances subversion of AI technologies
- 7th: Financial
- 8th: Social polarization
- 9th: Cyber espionage and war
- 10th: Pollution

Costs:

- \$4.8bn billion (flooded city)
- \$8-17 billion (flooded city)
- c. \$250 billion (wildfire)

The Economist Homeowners face a \$25trn bill from climate change**

ESG and Real Estate / LSE – S BURAK KAPLANOGLU

*JLL: Green premium in offices North America 7.1%, London 11.6%, Asia 9.9% (2023), Lloyds banking group: Homebuyers pay a green premium up to £40k for the most efficient properties.
** Economist article on 11th April 2024. MSCI think that cost of climate change over the next 25 years may amount to 10% of housing in institutional investors portfolios. If same holds true for housing in general, it is roughly a 25 Trn hit.

13

13

Context

What are ESG business upsides / downsides?

Environment: Climate mitigation and adaption example

Carbon economy → **Transition** → **Net zero economy**

1.5C to 3C+ warming
3.4% to 10% hit (\$25 TRN)*

A world in transition...

Costs of stranded / low performing assets

Cost of climate change e.g. damage, insurance premiums

Investment on Climate adaption / Infra. E.g. flood walls

Investment in mitigation / Net Zero

Examples*:

- Damages: 3 to 6 storms cost >\$1bn (from 2000-2009 to 2020-2024, SwissRE)
- Miami: West Palm beach 40% devaluation (First Street Foundation), but not so due to Gov backed insurance. Typical home is now 12K per annum. FL market booming 79% (Case-Schiller Index)

Ignore it.. building up a bubble!

Asset valuation adjustments impact on Mortgages..

Major disruption in financial markets, next Global Financial Crisis?

OR

Deal with the problems today!

Accelerate to manage risks.

Tokyo example of Typhoons 1966 Kit vs 2017 Lan (42K vs 35 buildings)

ESG and Real Estate / LSE – S BURAK KAPLANOGLU

* Economist article on 11th April 2024.

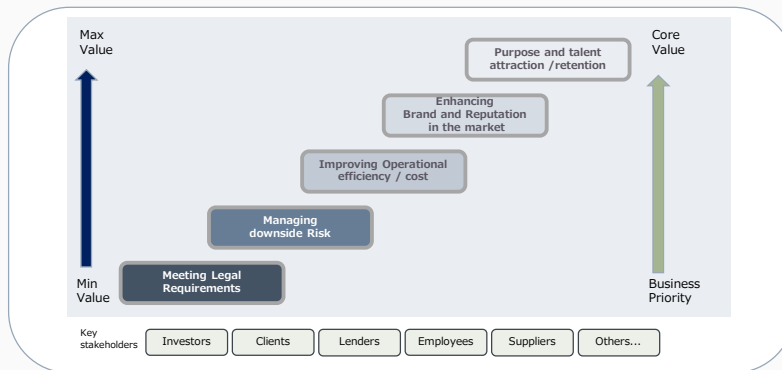
14

14

Approach

How can we move ESG up the chain?

ESG could become a powerful focus for you by moving up the value chain from cost to value generator



ESG and Real Estate / LSE - S BURAK KAPLANOGLU

Moving ESG up the value chain would mean it is a core value, not a priority. This requires a fresh perspective, uncompromising leadership commitment and sustained action

15

15

Approach

Where do we start?



"Green revolution is bigger than industrial revolution and happening at faster pace than digital revolution."
Al Gore

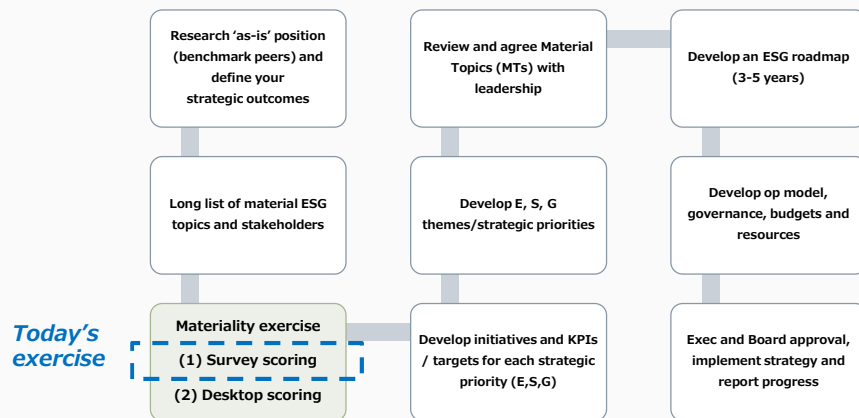
ESG and Real Estate / LSE - S BURAK KAPLANOGLU

16

16

Approach

How do we develop a strategy?



ESG and Real Estate / LSE – S BURAK KAPLANOGLU

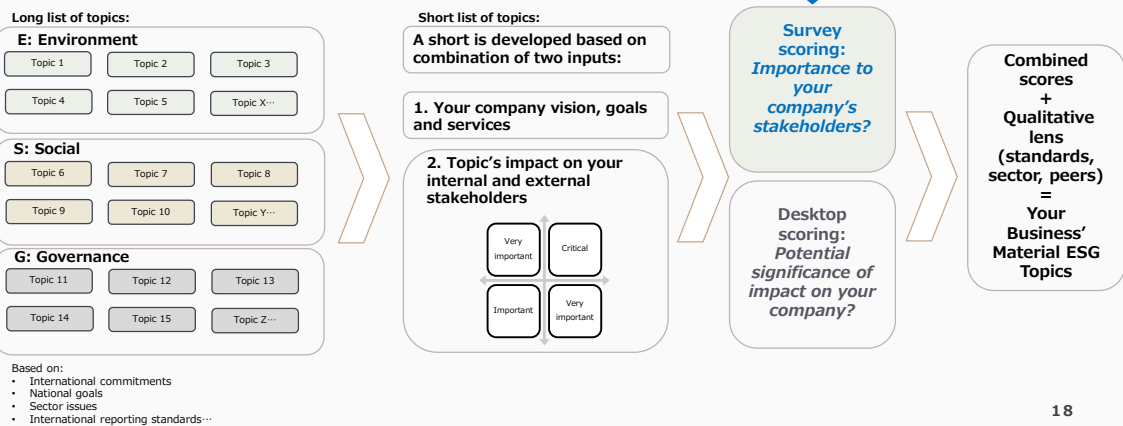
17

17

Approach

What is a materiality exercise?

Materiality exercise – Impact materiality process



18

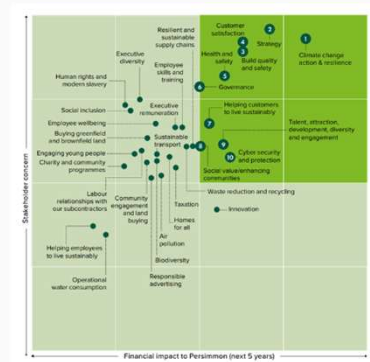
18

What is a materiality exercise?

Materiality exercise – Impact materiality example (Persimmon)

Material issues and how they affect us

- 1 **Climate change action resilience** - Reducing greenhouse gas emissions, energy use and ensuring resilience to the effects of climate change in the supply chain, business operations, customer homes and communities.
- 2 **Strategy** - Ensuring the right business strategy ensure long term value for key stakeholders.
- 3 **Build quality and safety** - Building high quality homes that last through generations.
- 4 **Customer satisfaction** - Ensuring customer service and process of buying a Persimmon home.
- 5 **Health and safety** - Protecting and promoting employees.
- 6 **Governance** - Implementing policies and practices to ensure all stakeholder expectations are met, manage risks and opportunities at the highest level in the business.
- 7 **Helping customers to live sustainably** - Making it easier for customers to make daily sustainable choices through the design of our homes.
- 8 **Social value and enhancing communities** - Demonstrating how we create value in the communities where we build.
- 9 **Talent attraction, diversity, development and engagement** - Ensuring we attract and retain the best talent through policies and practices.
- 10 **Cyber security and protection** - Protecting Persimmon's employees and customers' data from cyber attacks and improper use.



ESG and Real Estate / LSE – S BURAK KAPLANOGLU

Sources: Persimmon website

19

19

What is our short list?

Materiality exercise – Our Short List specific to Real Estate (24 topics)

E: Environment

- GHG Emissions Management
- Pollution
- Biodiversity & Nature
- Environmental Compliance
- Water Management
- Land and marine use management
- Waste Management and Circularity
- Green and healthy buildings

S: Social

- Occupational Health and Safety
- Employee engagement
- Customer focus
- Talent management
- Diversity, equity and inclusion
- Local economic development
- Community engagement
- Labour practices

G: Governance

- Corporate Governance
- Financial crime
- Responsible procurement
- Responsible tax practices
- Board diversity
- Privacy and data protection
- Risk Management
- Anti-corruption

ESG and Real Estate / LSE – S BURAK KAPLANOGLU

20

20

Approach

What are the definitions?

Materiality exercise – Our definitions specific to Real Estate
E: Environment

Topic	Definition
GHG emissions management	Managing and reducing GHG emissions (scope 1,2 and 3) associated with fossil fuel sourced energy consumption, implementing measures such as carbon offset projects, renewable energy sourcing, operational efficiency levers and other initiatives in the supply chain (scope 3).
Biodiversity and nature	<i>Custom definitions...</i>
Water Management	
Waste management and circularity	
Environmental compliance	
Land and marine use management	
Green and healthy buildings	

ESG and Real Estate / LSE – S BURAK KAPLANOGLU 21

21

Approach

What are the definitions?

Materiality exercise – Our definitions specific to Real Estate
S: Social

Topic	Definition
Occupational Health and Safety	Ensuring a healthy and safe working environment for employees and contractors by implementing comprehensive health and safety protocols, campaigns, audits, training to minimise risks to people.
Customer focus	<i>Custom definitions...</i>
Diversity, equity and inclusion	
Community engagement	
Employee engagement	
Talent management	
Local economic development	
Labour practices	

ESG and Real Estate / LSE – S BURAK KAPLANOGLU 22

22

What are the definitions?

Materiality exercise – Our definitions specific to Real Estate

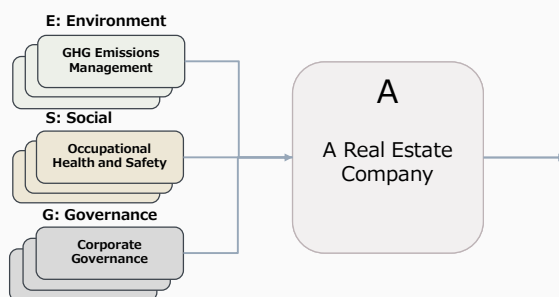
G: Governance

Topic	Definition
Corporate Governance	Ensuring organisation has appropriate decision-making processes and controls in place so that the interest of all stakeholders are considered in a balanced way. This includes processes for setting objectives and performance managed across the corporation.
Responsible procurement	Custom definitions...
Board biodiversity	
Risk management	
Financial crime	
Responsible tax practices	
Privacy and data protection	
Anti-corruption	

23

What is our short list?

Materiality exercise – Scoring exercise example



Join at
slido.com
#6089 697

How important 'X' is
 for your company's
 stakeholders?

- 1 – Not important
- 2 – Slightly important
- 3 – Moderately important
- 4 – Highly important
- 5 – Extremely important

24

What are our scores?

Materiality exercise – Scored as per 3 different company profiles

GHG Emissions
Management

Occupational
Health and Safety

Corporate
Governance

A.1

A major US pension fund investing in real estate in North America only – have a large prime office portfolio

A.2

A GCC private real estate developer with a construction arm building new projects in gulf countries only

A.3

A public German Real Estate investment manager majority of properties are offices based in EU / no developments

- **Where is the business based?** Stakeholder context: ESG regulations, public perceptions, market
- **What is its business model?** Expectations of stakeholders to impact change
- **What its commercial model?** Relevance of the topic to its key stakeholders such as investors / funders / clients?

ESG and Real Estate / LSE – S BURAK KAPLANOGLU

Sources: Persimmon website

25

25

What is important for each one?

A.1

A major US pension fund investing in real estate in North America only – have a large prime office portfolio

- **US business** facing ESG backlash. However, its business is offices for **GHG emissions is highly relevant** – better energy performance / valuations
- But it is far from construction, manages properties – **low H&S risk**
- Pensioners care about returns, but also long term / stranded assets, need to be managed well – so **high importance of Corporate Governance**

A.2

A GCC private real estate developer with a construction arm building new projects in gulf countries only

- **Gulf business** with high competition, so **GHG emission can be a competitive advantage** 'green premium', or national goals / simply not being behind peers e.g. Aldar
- Construction arms means **high H&S risk** including workers welfare across GCC
- Because it is privately owned, **corporate governance is less relevant**

A.3

A public German Real Estate investment manager majority of properties are offices based in EU / no developments

- **German / EU** publicly traded co. under CSRD which means regulatory **compliance and reporting obligations**
- **GHG emissions would be important** for a property manager due to reputation, tenants, costs
- **Corporate governance would be important** as well as it is public
- However, property management is **low H&S risk**, unless major refurbishment projects

ESG and Real Estate / LSE – S BURAK KAPLANOGLU

26

26

What are the next steps?

Your business's Material ESG Topics:

E: Environment

Topic 1 Topic 2 Topic 3

Topic 4 Topic 5

S: Social

Topic 6 Topic 7 Topic 8

Topic 9 Topic 10

G: Governance

Topic 11 Topic 12 Topic 13

Topic 14 Topic 15

Your 10 to 15 material topics

Your business's Materiality Matrix:



Example

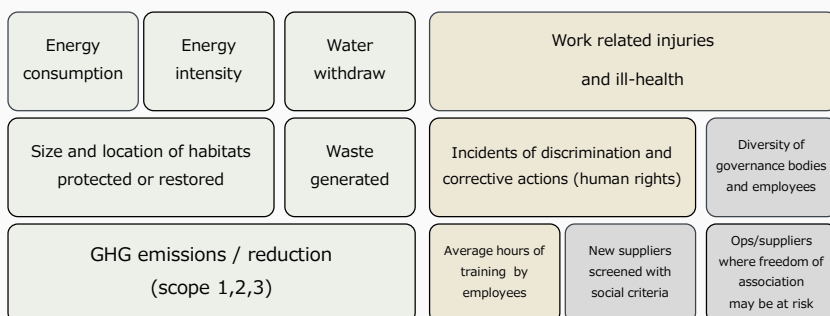
ESG STRATEGY
ESG REPORT

Your non-financial performance

27

What are the next steps?

REPORTING: Example matrices / KPIs for your business' ESG performance (non-financial):



Audience:

- Customers
- Business partners
- Investors
- Rating agencies*
- Banks**
- Media
- Activists
- ...etc.

*Rating agencies vary in their scoring criteria. Top ones include MSCI, Sustainalytics, Bloomberg, FTSE Russell, S&P global, Moody's etc.
**See next slide.

28

	Approach
	What are the next steps?
	PROCESS: Signatory banks require you to follow EQUATOR PRINCIPLES: The 10 Equator Principles (EP4) These principles form a global risk-management framework used by financial institutions to assess and manage environmental and social (E&S) risks in large-scale projects. 1. Review & Categorisation Projects are classified based on the magnitude of environmental and social risks. 2. Environmental & Social Assessment A detailed assessment must identify potential impacts and outline mitigation measures. 3. Applicable Environmental & Social Standards Projects must meet relevant international standards Primarily the IFC Performance Standards and **World Bank EHS Guidelines 4. E&S Management System & Action Plan Borrowers must create and implement a management system and action plan to address identified risks The Equator Principles - Equator Principles ESG and Real Estate / LSE – S BURAK KAPLANOGLU



128 financial institutions:

- AMB Ambro
- Bank of Taiwan
- BNP Paribas
- HSBC
- Lloyd's banking group
- Royal bank of Canada
- First Abu Dhabi Bank
- Qatar Islamic Bank
-
- ...
- .

29

29

	Approach
	What are the next steps?
	PROCESS: Signatory banks require you to follow EQUATOR PRINCIPLES: 5. Stakeholder Engagement Meaningful, culturally appropriate consultation with affected communities throughout the project lifecycle 6. Grievance Mechanism A formal mechanism must be available for communities and stakeholders to raise concerns 7. Independent Review High-risk projects require review by an **independent environmental and social expert**. 8. Covenants Loan agreements must include covenants requiring compliance with the Equator Principles 9. Independent Monitoring & Reporting Independent monitoring is required to ensure ongoing compliance with the action plan and standards. 10. Reporting & Transparency Financial institutions must publicly report on their implementation of the Equator Principles. The Equator Principles - Equator Principles ESG and Real Estate / LSE – S BURAK KAPLANOGLU



30

30

What are the next steps?

QUESTIONNAIRES: Examples of topics banks require answers for project finance (non-financial):



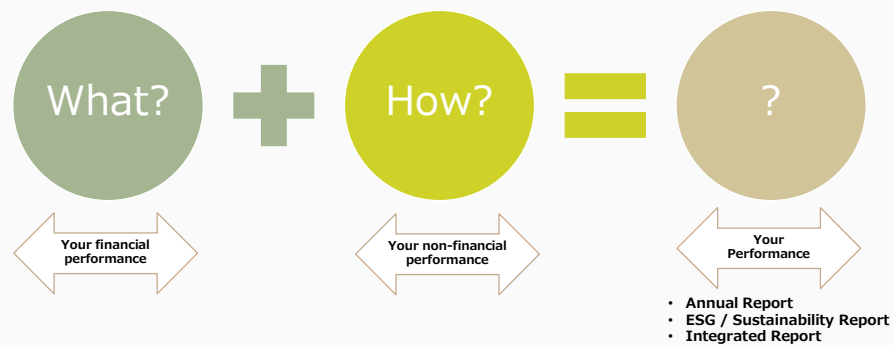
ESG and Real Estate / LSE – S BURAK KAPLANOGLU

31

31

What are the next steps?

In time, non-financial performance will increasingly become important and merge closer with financial performance...



ESG and Real Estate / LSE – S BURAK KAPLANOGLU

32

32

What are our conclusions?

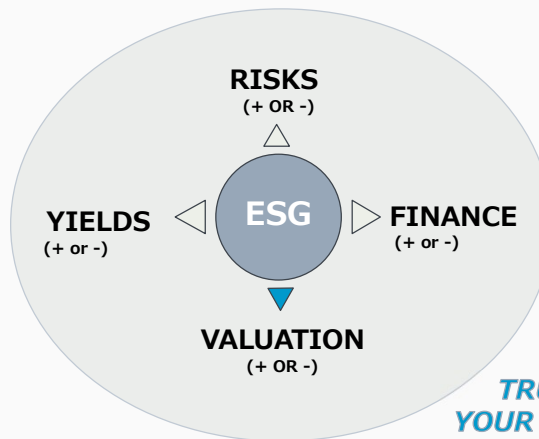
**LESS FOCUS ON
THE LABEL, MORE FOCUS
ON RISKS AND OPPORTUNITIES**

- Corporate
- Buildings/assets
- Projects

**IT IS OUTSIDE / IN
AND INSIDE / OUT**

**HOW YOU RESPOND TO ESG
WILL DETERMINE YIELDS+
RISKS + FINANCE, ULTIMATELY
YOUR VALUATIONS AND TRUST**

ESG and Real Estate / LSE – S BURAK KAPLANOGLU



**TRUST IN
YOUR BUSINESS**

33

33

Thank you

S Burak Kaplanoglu

[Burak Kaplanoglu | LinkedIn](#)

34

34